

LSW Level Term 20-G

Term Life Insurance



Prepared on
September 6, 2016 for
Sample Client

Presented by
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Product issued by
Life Insurance Company of the Southwest®

LSW Level Term 20-G, [Form Series ICC13-8119] and any applicable riders are underwritten by Life Insurance Company of the Southwest®, Addison, Texas. All rider form series are not available in all states. Riders are optional and may require additional premium. Guarantees are dependent upon the claims-paying ability of the issuing company.

This information is not intended as tax or legal advice. For advice concerning your own situation, please consult with your appropriate professional advisor.

National Life Group® is a trade name representing various affiliates, which offer a variety of financial service products.
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Summary of Coverages

Sample Client

Male 45 Preferred Non-Tobacco

Riders: ABR, UR

Face Amount: \$500,000

Initial Premium: \$92.84 Monthly (EFT)

State: New Hampshire

Life Insurance



Money for family

- **Death Protection \$500,000** for Sample Client

Accelerated Living Benefits



Money for a Terminal, Chronic, Critical Illness or Critical Injury¹

See the following page for more details on these benefits.

- Accelerated Benefits Rider for **Terminal Illness**
- Accelerated Benefits Rider for **Chronic Illness**
- Accelerated Benefits Rider for **Critical Illness**
- Accelerated Benefits Rider for **Critical Injury**

Additional Benefits

Other Coverage(s):

- **UR** - Unemployment Rider

The use of one benefit may reduce or eliminate other policy and rider benefits.

Riders are optional and may require additional premium.

This presentation is not valid unless accompanied by a complete Statement of Policy Cost and Benefit Information. Please see the Ledger for guaranteed values and other important information.

¹ Accelerated Benefit Riders are optional, available with no additional premium, and may not be available in all states. Please refer to the Narrative Summary for details regarding the Accelerated Benefit Riders available in the state selected for this presentation.

Life Insurance Company of the Southwest, Addison, TX 75001

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Summary of Coverages

Sample Client

Male 45 Preferred Non-Tobacco

Riders: ABR, UR

Face Amount: \$500,000

Initial Premium: \$92.84 Monthly (EFT)

State: New Hampshire

The optional Accelerated Benefit Riders (ABR) offer you flexibility to access your death benefit if you have a qualifying Terminal, Chronic, Critical Illness or Critical Injury¹

Terminal Illness

As an example, if the full, available death benefit is accelerated, the discounted benefit for Sample Client (Base) would be about **\$428,693** at age **50**.

Chronic Illness

As an example, if the full, available death benefit is accelerated each month, the monthly discounted benefits for Sample Client (Base) are projected to be:

Age 47: \$3,887

Age 49: \$4,146

Age 51: \$4,409

Age 55: \$4,857

Critical Illness OR Critical Injury

As an example, if the full, available death benefit is accelerated, the discounted benefits for Sample Client (Base) are projected to be:

Age	Category 1 Minor	Category 2 Moderate	Category 3 Severe	Category 4 Life Threatening
47	\$0	\$108,170	\$253,363	\$405,519
49	\$0	\$110,636	\$257,131	\$405,264
51	\$0	\$112,046	\$260,464	\$404,749
55	\$0	\$110,127	\$264,619	\$401,620

You can accelerate up to 100% of the death benefit, subject to an ABR Benefit limit of \$1,500,000 for terminal and chronic illness and an ABR Benefit limit of \$1,000,000 for critical illness and critical injury on the total death benefit accelerated under all policies on the life of the insured. For chronic illness, the death benefit you can accelerate is subject to a monthly limit to the lesser of 2% of the discounted death benefit or \$30,000. The death benefit will be reduced by the amount of the death benefit you decide to accelerate. A discount factor will be applied to the death benefit accelerated because it is being paid prior to the actual death benefit. As a result, the actual benefit paid will be less than the amount of death benefit accelerated. Please refer to the Narrative Summary for further information about these riders.

The use of one benefit may reduce or eliminate other policy and rider benefits.

The sample benefits shown assume current accelerated benefits mortality table and interest at 6.5%. The benefits and values shown above are not guaranteed. The assumptions on which they are based are subject to change by the insurer. Actual results may be more or less favorable. This presentation is not valid unless accompanied by a complete Statement of Policy Cost and Benefit Information.

1 Accelerated Benefit Riders are optional, available with no additional premium, and may not be available in all states. Please refer to the Narrative Summary for details regarding the Accelerated Benefit Riders available in the state selected for this presentation.

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LSW Level Term 20-G

Term Life Insurance

Narrative Summary

Sample Client

Male 45 Preferred Non-Tobacco

Riders: ABR, UR

Face Amount: \$500,000**Initial Premium:** \$92.84 Monthly (EFT)**State:** New Hampshire**Plan Description**

LSW Level Term 20-G [Form Series ICC13-8119], is a term life insurance policy that is annually renewable to age 95. Premiums are level for the first 20 years and increase annually thereafter to attained age 95.

This policy is convertible during the first 15 years from the date of issue or until age 70 if earlier, but in no case less than 5 years from date of issue, without evidence of insurability to any single life permanent plan of life insurance then sold by us.

Premium Payment Options

This statement assumes premiums are paid on an monthly electronic funds transfer (EFT) basis and are received at the beginning of each billing period.

Your yearly cost will be higher if you choose to pay premiums more frequently than annually. For example, the additional amount you will pay in the first year is as follows:

Premium Frequency	Number of payments per year	Amount of each premium payment	Total premium per year	Amount you will pay each year in addition to the annual premium
Annual	1	\$1,055.00	\$1,055.00	\$0.00
Semi-Annual	2	\$538.05	\$1,076.10	\$21.10
Quarterly	4	\$274.30	\$1,097.20	\$42.20
Monthly (EFT/List Bill)	12	\$92.84	\$1,114.08	\$59.08

This table illustrates the additional amounts that are required in the first year. Additional amounts will be due in future years if premiums are paid more frequently than annually and may vary from the above example.

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LSW Level Term 20-G**Term Life Insurance****Narrative Summary**

Sample Client

Male 45 Preferred Non-Tobacco

Riders: ABR, UR

Face Amount: \$500,000**Initial Premium:** \$92.84 Monthly (EFT)**State:** New Hampshire**Rider Description**

The following riders are available at no additional premium:

Accelerated Benefits Rider for Terminal Illness (ABR) [Form Series 8052NH], allows for the payment of a portion of an insured's death benefit if the insured is terminally ill. Terminally ill means that the insured has been certified by a physician as having an illness or chronic condition which can reasonably be expected to result in death in 24 months or less. There is no premium for this rider. However, the actual payment will be less than the portion of the death benefit accelerated because the benefits are paid prior to death.

Accelerated Benefits Rider for Chronic Illness (ABR) [Form Series 8095NH], allows for the payment of a portion of an insured's death benefit if the insured is chronically ill. Chronically ill means that the insured has been certified by a licensed health care practitioner as being unable to perform 2 out of 6 activities of daily living or is cognitively impaired. The activities of daily living are bathing, continence, dressing, eating, toileting, and transferring. There is no premium for this rider. However, the actual payment will be less than the portion of the death benefit accelerated because the benefits are paid prior to death.

Accelerated Benefits Rider for Critical Illness (ABR) [Form Series 20287], allows for the payment of a portion of the insured's death benefit if the insured experiences a qualifying event covered under the rider. Subject to state approval, the qualifying events may include: aorta graft surgery, aplastic anemia, blindness (corrected vision no greater than 20/200 in both eyes), cancer, cystic fibrosis, diagnosis of ALS (Amyotrophic Lateral Sclerosis), end stage renal failure, heart attack, heart valve replacement, major organ transplant, motor neuron disease, stroke and sudden cardiac arrest. Please see the rider for a complete list of the qualifying events covered. There is no premium for this rider. However, the actual payment will be less than the portion of the death benefit accelerated because the benefits are paid prior to death.

Accelerated Benefits Rider for Critical Injury (ABR) [Form Series 20288], allows for the payment of a portion of the insured's death benefit if the insured experiences a qualifying event covered under the rider. Subject to state approval, the qualifying events may include: coma, paralysis, severe burns and traumatic brain injury. Please see the rider for a complete list of the qualifying events covered. There is no premium for this rider. However, the actual payment will be less than the portion of the death benefit accelerated because the benefits are paid prior to death.

Important Information Regarding Optional Accelerated Benefit Riders

Death Benefits, cash values and loan values (for policies with such values) will be reduced if an Accelerated Benefit is paid. The Accelerated Benefits offered under this rider are intended to qualify for favorable tax treatment under the Internal Revenue Code of 1986. Whether such benefits qualify depends on factors such as your life expectancy at the time benefits are accelerated or whether you use the benefits to pay for necessary long-term care expenses, such as nursing home care. If the acceleration-of-life-insurance benefits qualify for favorable tax treatment, the benefit will be excludable from your income and not subject to federal taxation. Tax laws relating to acceleration-of-life-insurance benefits are complex. You are advised to consult with a qualified tax advisor about circumstances under which you could receive acceleration-of-life-insurance benefits excludable from income under federal law.

Receipt of acceleration-of-life-insurance benefits may affect your, your spouse's or your family's eligibility for public assistance programs, such as medical assistance (Medicaid), Aid to Families with Dependent Children, and Supplemental Security Income (SSI). You are advised to consult with a qualified tax advisor and with social services agencies concerning how receipt of such payment will affect you, your spouse's and your family's eligibility for public assistance. Riders are optional and may not be available in all states.

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Face Amount: \$500,000

Male 45 Preferred Non-Tobacco

Initial Premium: \$92.84 Monthly (EFT)**Riders:** ABR, UR**State:** New Hampshire**Rider Description (continued)**

We currently limit the amount of benefits that may be paid under all accelerated benefit riders applying to the same insured to \$1,500,000 for terminal and chronic illness and \$1,000,000 for critical illness and critical injury. We reserve the right to change these limits in the future, however the limit will never be less than \$500,000. The maximum death benefit that may be accelerated under chronic illness in any year is the lesser of 24% of the death benefit in effect on the initial election date or \$360,000. These limits vary by state. Once ABR has been added to your policy, please refer to your ABR policy form for specific information.

Unemployment Rider (UR) [Form Series 8058NH], allows the paid-to date on the policy to be advanced by 3 months after the insured has been involuntarily unemployed for three consecutive months.

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LSW Level Term 20-G**Term Life Insurance****Narrative Summary**

Sample Client

Male 45 Preferred Non-Tobacco

Riders: ABR, UR

Face Amount: \$500,000**Initial Premium:** \$92.84 Monthly (EFT)**State:** New Hampshire**Definition of Key Terms and Column Headings****Age** - The insured's age as of nearest birthday.**Face Amount** – The amount used to determine the death benefit.**Guaranteed Contract Premium** – The annualized guaranteed maximum premium for the term policy based on the premium mode selected.**Guaranteed Death Benefit** – The policy's guaranteed death benefit.**Policy Year** – The number of years for which information is being illustrated.**Rate Class** – The rate class used in this Statement of Policy Cost and Benefit Information (statement) is Preferred Non-Tobacco. The actual rate class will be determined when the application is underwritten and may vary from this statement. If so, a revised statement will be delivered with the policy.**Tax Treatment:** The Company will report any eligible distributions, under any accelerated benefits rider, subject to existing IRS guidance and facts at the time of distribution. However, proper tax treatment for any accelerated benefits you receive under this insurance contract depends on a number of factors. These factors include, among others, the provisions of the law, the terms of the contract, and your personal situation at the time payments are made. These factors may permit some or all of the payments to be excluded from income or may require some or all the payments to be included in income for tax purposes. You should consult with your own tax advisor in deciding how to report the payments.**Cost Index Statement:** Cost Indexes combine the premium with an interest factor. They are useful only for the purpose of comparing the cost of two or more similar policies, and do not reflect differences in the quality of service that can be expected from the agent of the Company. Explanations of the intended use of the cost indexes is provided in the Life Insurance Buyer's Guide.**Cost Indexes for base policy at 5%**

	<u>Year 10</u>	<u>Year 20</u>
Net Payment - Guaranteed Basis	\$2.23	\$2.23

Since the policy does not provide any cash surrender values, the surrender cost indexes are the same as the net payment cost indexes. A statement of the intended use of these indexes is provided in the Life Insurance Buyer's Guide.

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STATEMENT OF POLICY COST AND BENEFIT INFORMATION

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Term Life Insurance

Ledger

Sample Client

Male 45 Preferred Non-Tobacco

Riders: ABR, UR

Face Amount: \$500,000

Initial Premium: \$92.84 Monthly (EFT)

State: New Hampshire

Policy Year	Age	Guaranteed Contract Premium	Guaranteed Death Benefit
1	45	\$1,114.08	\$500,000
2	46	1,114.08	500,000
3	47	1,114.08	500,000
4	48	1,114.08	500,000
5	49	1,114.08	500,000
6	50	1,114.08	500,000
7	51	1,114.08	500,000
8	52	1,114.08	500,000
9	53	1,114.08	500,000
10	54	1,114.08	500,000
		\$11,140.80	
11	55	1,114.08	500,000
12	56	1,114.08	500,000
13	57	1,114.08	500,000
14	58	1,114.08	500,000
15	59	1,114.08	500,000
16	60	1,114.08	500,000
17	61	1,114.08	500,000
18	62	1,114.08	500,000
19	63	1,114.08	500,000
20	64	1,114.08	500,000
		\$22,281.60	
21	65	24,604.80	500,000
22	66	27,044.16	500,000
23	67	29,515.20	500,000
24	68	32,176.32	500,000
25	69	34,932.48	500,000
26	70	38,274.72	500,000
27	71	42,012.96	500,000

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Riders: ABR, UR

Face Amount: \$500,000

Initial Premium: \$92.84 Monthly (EFT)

State: New Hampshire

Policy Year	Age	Guaranteed Contract Premium	Guaranteed Death Benefit
28	72	\$46,923.36	\$500,000
29	73	52,103.04	500,000
30	74	57,552.00	500,000
		\$407,420.64	
31	75	63,507.84	500,000
32	76	70,002.24	500,000
33	77	77,542.08	500,000
34	78	86,349.12	500,000
35	79	96,518.40	500,000
36	80	107,606.40	500,000
37	81	120,230.88	500,000
38	82	133,378.08	500,000
39	83	147,554.88	500,000
40	84	163,252.32	500,000
		\$1,473,362.88	
41	85	180,787.20	500,000
42	86	200,222.88	500,000
43	87	221,448.48	500,000
44	88	244,194.72	500,000
45	89	268,192.32	500,000
46	90	293,235.36	500,000
47	91	316,789.44	500,000
48	92	341,341.44	500,000
49	93	367,239.84	500,000
50	94	394,595.52	500,000
		\$4,301,410.08	

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